23STCV15214 23STCV15214

County: los-angeles

Division: Civil Law and Motion

Department: 511

Hearing date: 2026-08-04

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Case Number: 23STCV15214 Hearing Date: August 4, 2026 Dept: 511

Tentative Ruling

Judge Upinder S.
Kalra, Department 511

HEARING DATE: August
4, 2026

CASE NAME: Tamar
Sauer v. Signature Advisors, et al.

CASE NO.: 23STCV15214

DEMURRER
TO THIRD AMENDED CROSS-COMPLAINT WITH MOTION TO STRIKE;

MOTION
FOR LEAVE TO FILE A FOURTH AMENDED CROSS-COMPLAINT

MOVING PARTY:

Demurrer & Motion to Strike: Cross-Defendant Certain
Underwriters at Lloyd’s, London subscribing to Cert. No. 19144234-10

Motion for Leave to Amend: Defendant/Cross-Complainant
Pacific Healthworks, LLC

RESPONDING PARTY(S):

Demurrer & Motion to Strike: Defendant/Cross-Complainant
Pacific Healthworks, LLC

Motion for Leave to Amend: Cross-Defendant Certain
Underwriters at Lloyd's, London subscribing to Cert. No. 19144234-10

REQUESTED RELIEF:

1. Demurrer to the first, second, and
third causes of action for failing to state sufficient facts to constitute a
cause of action;

2. Motion
to strike the 3ACC for exceeding scope of leave granted by the court;

3. Motion
for leave to file a fourth amended cross-complaint.

TENTATIVE RULING:

1. Demurrers
to the 3ACC are SUSTAINED in full without leave to amend;

2. Motion
to strike is DENIED as moot;

3. Motion
for leave to file a fourth amended cross-complaint is DENIED.

STATEMENT OF MATERIAL FACTS AND/OR PROCEEDINGS:

On June 29, 2023, Plaintiff Tamar Sauer (Plaintiff) filed a
Complaint against Defendants Signature Advisors (Signature), Cavalier
Insurance¿Marketing¿Services, LLC (Cavalier), and Jason P. Stein (Stein) with
three causes of action for: (1) Negligent Failure to Obtain Insurance Coverage;
(2) Professional Negligence; and (3) Breach of Fiduciary Duty.¿¿¿¿

¿¿¿

According to the Complaint, Plaintiff was insured under a group Accidental Death & Disability insurance policy. Plaintiff alleges that prior to the policy's¿expiration, she¿submitted¿a renewal application to the Defendants on May 6, 2022. On June 3, 2022, Plaintiff was stabbed by a patient while working in the ER at Encino Hospital Medical Center. Plaintiff believed her injuries were covered by the Accidental Death & Disability insurance policy. Plaintiff alleges¿that Defendants did not¿submit¿her application to underwriting until June 6,¿2022¿and, as a result, was not covered.¿¿¿

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On July 5, 2023, Plaintiff filed a separate Complaint (23VECV02912) against Defendants Prime Healthcare Services-Encino Hospital, LLC; Prime Healthcare Services, Inc; Prime Healthcare Foundation, Inc.; and Ashkan¿Amirosleymani¿with five causes of action for: (1) Battery; (2) Negligence; (3) Negligent Hiring, Retention, Supervision, and/or Training; (4) Invasion of Privacy; and (5) Intentional Infliction of Emotional Distress.¿¿

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On October 6, 2023, Defendants Prime Healthcare Services-Encino Hospital, LLC, Prime Healthcare Services, Inc., and Prime Healthcare Foundation filed a demurrer which the court OVERRULED.¿¿

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On November 1, 2023, Plaintiff filed a First Amended Complaint (FAC) for (1) Negligent Failure to Obtain Insurance Coverage; and (2) Professional Negligence against Defendants Signature Advisors, Cavalier Insurance Marketing Services, LLC, and Jason P. Stein.¿¿

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On June 3, 2024, Plaintiff filed a third Complaint (24STCV13717) with five causes of action for: (1) Labor Code § 3706; (2) Failure to Pay All Wages Owed Each Pay Period; (3) Failure to Provide Compliant Meal Periods; (4) Failure to Provide Compliant Rest Breaks; and (5) Unfair¿Business¿Practices against defendants Pacific Healthworks, LLC, Emergent

Medical Associates, Irv Edwards, M.D., Inc., and Mark R. Bell Medical Corporation.¿¿

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On July 31, 2024, Plaintiff filed a Second Amended Complaint for: (1) Negligent Failure to Obtain Insurance Coverage; and (2) Professional Negligence against defendants Signature Advisors, Cavalier Insurance Marketing¿Services,¿LLC, Jason P. Stein, Pacific Healthworks, LLC, and Petersen International Underwriters.¿¿

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On August 29, 2024, Defendant Cavalier Insurance Marketing Services, LLC (Cavalier) filed an Answer.¿¿

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On August 30, 2024, Defendant Pacific Healthworks, LLC (Pacific) filed an Answer.¿¿

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On September 3, 2024, Defendant Stein (Stein) filed an Answer.¿¿

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On October 18, 2024, Defendant Petersen International Underwriters (Petersen) filed an Answer.¿¿

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On December 18, 2024, Defendants Pacific, Emergent Medical Associates (EMA), and Irv Edwards, M.D., Inc. filed a demurrer which the court OVERRULED.¿¿

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On February 10, 2025, Petersen filed a motion for summary judgment which the court GRANTED.¿¿

On April 10, 2025, Defendants Pacific, EMA, and Irv Edwards, M.D., Inc. filed an Answer.¿¿

On May 2, 2025, the court held an OSC re: Consolidation of Related Cases where it ORDERED the following cases, 23STCV15214, 23VECV02912, and 24STCV13717,¿consolidated¿and assigned to Department 51 in Stanley Mosk Courthouse for all purposes. The Court designated 23STCV15214 as the lead case.¿¿

On¿May 21, 2025, Pacific filed a Cross-Complaint after the court GRANTED leave to do so.¿

On June 16, 2025, Pacific filed a First Amended Cross-Complaint (1ACC).¿

On June 26, 2025, Petersen filed a demurrer to the 1ACC which the court sustained with leave to amend.

On November 12, 2025, Pacific filed a Second Amended Cross-Complaint (2ACC).

On November 19, 2025, Stein filed a motion for summary adjudication which the court GRANTED.

On December 3, 2025, Cavalier filed two motions for summary judgment (MSJ) – one to Plaintiff's complaint and one to Pacific's 2ACC. After taking the matter under submission, the court DENIED both MSJs.

On January 23, 2026, Petersen filed a motion for determination of good faith settlement which the court GRANTED.

On February 23, 2026, the hearing on Petersen's demurrer to Pacific's 2ACC came on for hearing. The court SUSTAINED the demurrer without leave to amend.

On March 5, 2026, Pacific filed the operative Third Amended Cross-Complaint (3ACC) that includes Certain Underwriters of Lloyd's of London.

On May 11, 2026, Cross-Defendant Certain Underwriters at Lloyd's, London (Lloyd's) filed the instant demurrer with motion to strike as to the 3ACC.

On May 18, 2026, Pacific filed a motion for leave to file a fourth amended cross-complaint.

On May 19, 2026, Petersen filed a proposed judgment of dismissal.

On June 12, 2026, Lloyd's filed an application to admit counsel Thomas Hay pro hac vice.

On June 12, 2026, Cavalier filed an answer to the 3ACC.

On July 22, 2026, Pacific filed oppositions to Lloyd's demurrer and motion to strike. The same date, Lloyd's filed an opposition to Pacific's motion to file a 4ACC. On July 28, 2026, Lloyd's filed a replies in support of their demurrer and motion to strike. Pacific also filed a reply in support of their motion for leave to amend.

LEGAL STANDARD:

Meet and Confer

Prior to filing a demurrer, the demurring party is required to satisfy their meet and confer obligations pursuant to Code of Civ. Proc. §430.41, and demonstrate that they so satisfied their meet and confer obligation by submitting a declaration pursuant to Code of Civ. Proc. §430.41(a)(2) & (3). ¿The meet and confer requirement also applies to motions to strike. (CCP § 435.5.)¿

Here, the parties met and conferred via telephone on May 6, 2026. (Declaration of Thomas Hay ¶ 2.) This requirement is therefore met.

Demurrer –
Sufficiency of Facts

A demurrer for sufficiency tests whether the complaint states a cause of action.¿(Hahn v. Mirda¿(2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context.¿In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice.¿(Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.)¿"A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. …. The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action."¿(Hahn¿147 Cal.App.4th at 747.)¿¿

¿

When considering demurrers, courts read the allegations liberally and in context, accepting the alleged facts as true. (Nolte v. Cedars-Sinai Medical Center (2015) 236 Cal.App.4th 1401, 1406.) Courts also consider exhibits attached to the complaint and incorporated by reference. (See Frantz v. Blackwell (1987) 189 Cal.App.3d 91, 94 (Frantz).)¿

Motion to Strike

The court may, upon a motion, or at any time in its discretion, and upon terms it deems proper, strike any irrelevant, false, or improper matter inserted in any pleading. (CCP § 436(a).) The court may also strike all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. (Id., § 436(b).) The grounds for moving to strike must appear on the face of the pleading or by way of judicial notice. (Id.¿§¿437.)¿"When the defect which justifies striking a complaint is capable of cure, the court should allow leave to amend." (Vaccaro v. Kaiman¿(1998) 63 Cal.App.4th 761, 768.)¿¿¿¿

ANALYSIS:

Request for Judicial Notice

The court GRANTS Lloyd's request for judicial notice of the group insurance disability insurance policy / certificate No. 19144234-10 (Exhibit A), this court's prior ruling (Exhibit B), and Plaintiff's SAC (Exhibit C). (Evid. Code § 452(d), (h).)

Demurrer

First Cause of Action: Equitable/Implied Indemnity

Lloyd's contends this claim fails because they are not liable to Plaintiff since they did not insure her at the time of her injury.

Pacific argues that Lloyd's is liable to Plaintiff because they are liable for their agent, Petersen's, torts, and that they had a duty to Plaintiff to disclose they were offering "new coverage" instead of renewed coverage under Ins. Code § 330.

"The elements of a cause of action for [equitable] indemnity are (1) a showing of fault on the part of the indemnitor and (2) resulting damages to the indemnitee for which the indemnitor is . . . equitably responsible."¿ (C.W. Howe Partners Inc. v. Mooradian¿(2019) 43 Cal.App.5th 688, 700, quoting Bailey v. Safeway, Inc. (2011) 199 Cal.App.4th 206, 217.)¿

After reviewing the 3ACC, Pacific has failed to sufficiently state a claim for equitable indemnity. Critically missing is Lloyd's liability to Plaintiff. (Prince v. Pacific Gas & Electric Co. (2009) 45 Cal.4th 1151, 1159 [no indemnity without liability].)

In Prince, the plaintiff sustained injuries on Prince's property stemming from PG&E's easement. (Prince, supra, at p. 1156.) Prince filed a cross-complaint for implied contractual indemnity to PG&E but it was undisputed that PG&E did not owe the plaintiff a duty. (Ibid.) Our Supreme Court concluded that PG&E therefore did not owe indemnity to Prince. (Id. at pp. 1161, 1165.) So too here.

First, the Policy does not impose a duty on Lloyd's to renew the Policy. (See Civ. Code § 1636 ["A contract must be so interpreted as to give effect to the mutual intention of the parties as it existed at the time of contracting, so far as the same is ascertainable and lawful."]) Just the opposite. The Policy states:

New term of Insurance: A new Term of Insurance may be offered at the Expiry Date of this Certificate, subject to underwriting. A new Term of Insurance may contain new terms, new premium and/or other modifications, or be declined. No new Term of Insurance will be offered if there are any open claims or if a notice of claim is pending. We reserve the right to not make any offers for a new Term of Insurance for any reason.

(RJN, Exhibit A, Policy, p. 39.)

Pacific alleges that Lloyd's did offer to renew, and did renew, prior policies. (3ACC ¶ 13.) They also allege that Lloyd's decided not to renew the 2019-2022 Policy. (3ACC ¶ 14.) Per the express terms of the contract, however, Lloyd's was not required to do so. (Civ. Code § 1638 ["The language of a contract is to govern its interpretation, if the language is clear and explicit, and does not involve an absurdity."]) Also per the express terms of the Policy, Lloyd's could offer a new Term of Insurance "subject to underwriting." (RJN, Exhibit A, Policy, p. 39.) This is their alleged conduct.

Second, the Policy does not contain express terms requiring Lloyd's to communicate it was offering a new Term of Insurance subject to underwriting. Instead, the Policy provides in the general provisions:

CORRESPONDENCE TO CERTIFICATE OWNER:

Any form of communications from Us shall be to the Certificate Owner. Communications to the Owner shall be considered communications to You.

(RJN, Exhibit A, Policy, p. 38 (the communications clause).)

Pacific alleges that Lloyd's did communicate with them by mailing a letter advising that the Policy would expire May 10, 2022, that they would be happy to review for new coverage, and that a census of insureds must be submitted by April 10, 2022. (3ACC ¶ 14.) Pacific further alleges that missing from this communication was the explanation that "new coverage" meant fully underwritten coverage instead of the guaranteed standard issue group insurance that they had previously received. (3ACC ¶ 15.) This reads more into the communications clause than exists. The plain terms of the communications clause just provide how Lloyd's would communicate with Pacific and Plaintiff. What is more, the New Term of Insurance clause explicitly states Lloyd's could offer new insurance subject to underwriting. (RJN, Exhibit A, Policy, p. 39.)

Third, Insurance Code sections 330, 332, and 334 did not create a duty based on the allegations.

Ins. Code § 330 states: "Neglect to communicate that which a party knows, and ought to communicate, is concealment."

Ins. Code § 332 states: "Each party to a contract of insurance shall communicate to the other, in good faith, all facts within his knowledge which are or which he believes to be material to the contract and as to which he makes no warranty, and which the other has not the means of ascertaining." This section "does not require the parties to an insurance contract to make available all information that may be material to the other party." (Levine v. Blue Shield of California (2010) 189 Cal.App.4th 1117, 1134 [italics omitted].) "Rather, it requires each party to make available information that is 'material to the contract.'" (Ibid. [italics omitted].)

Ins. Code § 334 states: "Materiality is to be determined not by the event, but solely by the probable and reasonable influence of the facts upon the party to whom the communication is due, in forming his estimate of the disadvantages of the proposed contract, or in making his inquiries."

Pacific alleged a material change to the contract – guaranteed standard issue (GSI) policies vs. fully underwritten coverage. (3ACC ¶¶ 13, 14.) Problematically, Pacific also alleged that Lloyd's communicated they were "happy to review for new coverage." (3ACC ¶ 14 [emphasis added].) As discussed above, the Policy contemplates new coverage subject to underwriting. (RJN, Exhibit A, Policy, p. 39.) Additionally, Pacific alleges that they interpreted the letter as another renewal notice because Lloyd's included a census of insureds as they had done with previous renewal requests. (3ACC ¶ 16.) But these allegations do not show neglect to communicate by Lloyd's because they explicitly said "new coverage" while other parties (Cavalier and Stein) reinforced Pacific's misinterpretation as a renewal of the GSI. (3ACC ¶ 18.) Considered together, there was no neglect to communicate by Lloyd's.

Pacific predominantly relies on two cases to support their position that Lloyd's needed to better articulate that the new coverage was for fully underwritten coverage rather than GSI coverage: Pastoria v. Nationwide Insurance (2003) 112 Cal.App.4th 1490 (Pastoria) and Notrica v. State Compensation Ins. Fund (1999) 70 Cal.App.4th 911 (Notrica). Both cases are distinguishable.

Pastoria involved disclosure of impending policy amendments to premiums and benefits of a health insurance plan prior to the plaintiffs' purchase of that plan to support an unlawful business practices claim. The Court of Appeal concluded that a fair reading of Insurance Code sections 330, 331, 332, 334, and 361 would require an insurer to disclose information about impending changes that would impact policy payments to the plaintiffs before they purchased their policies. (Pastoria, supra, 112 Cal.App.4th at p. 1497.) Unlike Pastoria, the alleged nondisclosure here does not concern undisclosed changes to the policy ultimately purchased. Rather, Pacific seeks to impose liability based on Lloyd's alleged failure to further explain the nature of a future offer for new coverage after expiration of the prior policy.

Notrica involved disclosure of reserves guidelines in the context of workers compensation insurance. There, the Court of Appeal concluded that an insured employer would want to consider the reserve calculation because it would impact their premium payments. (Notrica, supra, 70 Cal.App.4th at p. 946-947.) That case was a fraud case. (Ibid.)

Here, unlike Pastoria and Notrica where information was not communicated at all, the information sought was communicated to Pacific (the insured). (3ACC ¶ 14 [happy to discuss new coverage].) Instead, Pacific seeks to hold Lloyd's liable for not disclosing all information – the details of the type of new coverage offered. But this is not required. (See, e.g., Levine, supra, 189 Cal.App.4th at p. 1134 [no duty to disclose restructure of quoted health insurance policy to lower premiums.]) Additionally, there are no facts that this allegedly withheld information was material to premium payments. The crux of the allegations point to Pacific's misinterpretation of Lloyd's communication, perpetuated by Cavalier and Stein, which resulted in failure to obtain insurance prior to Plaintiff's stabbing. (3ACC ¶¶ 14, 15, 16, 17, 18, 21, 22, 23, 25, 26, 29, 30.) There are no facts that Lloyd's withheld benefits of the Policy or withheld information material to the Policy by failing to clarify that the "new coverage" would be subject to underwriting as articulated in the Policy and not a renewal.

Pacific further alleges that, had Lloyd's more clearly explained the nature of the proposed new coverage, Plaintiff may have sought alternate insurance or completed the underwriting process sooner. Even accepting those allegations as true for purposes of demurrer, they do not establish that Lloyd's owed the legal duty alleged or otherwise establish joint liability to Plaintiff. The asserted causal theory therefore does not cure the defects in the pleading.

Accordingly, the Third Amended Cross-Complaint does not allege facts establishing that Lloyd's owed Plaintiff the legal duty Pacific asserts. Neither the Policy nor Insurance Code sections 330, 332, or 334 imposed the affirmative disclosure obligations alleged by Pacific under the circumstances pleaded. Because the pleading fails to establish that Lloyd's owed or breached a duty to Plaintiff, it likewise fails to establish that Lloyd's could be jointly liable with Pacific to Plaintiff. Joint liability is a prerequisite to equitable indemnity. (Prince, supra, 45 Cal.4th at p. 1159.)

Therefore, Lloyd’s cannot be liable to Plaintiff and so cannot owe indemnity to Pacific.

Accordingly, the court SUSTAINS Lloyd’s demurrer to the first cause of action.

Second Cause of Action: Apportionment and Contribution

Lloyd’s argument here is the same as above.

For the same reasons articulated above, the court SUSTAINS Lloyd’s demurrer to the second cause of action.

Third Cause of Action: Implied Contractual Indemnity

In addition to the prior argument, Lloyd’s also contends this claim fails to allege a duty to communicate anything in particular to Pacific, their behavior comports with the terms of the policy, the express policy provisions bar Pacific’s breach theory.

Pacific argues, in addition to above, that it is not necessary to allege breach of an express provision, they alleged breach of the policy by failing to comply with Ins. Code §§ 330, 332, and 334 via Lloyd’s lack of communicating a fundamental change in processing the renewal (i.e., changing from GSI to fully underwritten coverage).

“Indemnity may be defined as the obligation resting on one party to make good a loss or damage another party has incurred.”¿ (McCrary Construction Co. v. Metal Deck Specialists, Inc. (2005) 133 Cal.App.4th 1528, 1536.)¿ “This obligation may be expressly provided for by contract [citation], it may be implied from a contract not specifically mentioning indemnity [citation], or it may arise from the equities of particular circumstances [citation].”¿ (Id.)¿ Parties may expressly contract for a duty to indemnify.¿ (See Valley Crest Landscape Development, Inc. v. Mission Pools of Escondido, Inc. (2015) 238 Cal.App.4th 468, 479.)¿ Both breach of express contractual indemnity and breach of contract thus rely on the existence of a contract between the parties.¿¿

“Implied contractual indemnity is applied to contract parties and is designed to apportion loss among contract parties based on the concept that one who enters a contract agrees to perform the work carefully and to discharge foreseeable damages resulting from that breach. [Citation.]” (Sehulster Tunnels/Pre-Con v. Traylor Brothers, Inc./Obayashi Corp. (2003) 111 Cal.App.4th 1328, 1350, quoting Smoketree–Lake Murray, Ltd. v. Mills Concrete Construction Co. (1991) 234 Cal.App.3d 1724, 1736.)¿ As a form of equitable indemnity . . . , the doctrine rests on the equities apparent from the surrounding circumstances, because contracting parties should share loss in proportion to their breach.¿ (Id. at pgs. 1350-1351, citing Smoketree–Lake Murray, Ltd., 234 Cal.App.3d at pg. 1736-1737.)

Pacific also fails to allege breach of any contractual obligation owed by Lloyd's. The only contract alleged is the Policy, which expressly provided that any new term of insurance would be subject to underwriting and reserved Lloyd's discretion whether to offer a new term at all. Pacific therefore has not alleged facts showing Lloyd's failed to perform any contractual obligation owed under the Policy.

For these independent reasons, and for the same reasons articulated above, the court SUSTAINS Lloyd’s demurrer to the third cause of action.

Motion to Strike

In light of the ruling on the demurrer, the court DENIES the motion to strike, without prejudice, as moot.[1]

Leave to Amend

Leave to amend should be liberally granted if there is a reasonable possibility an amendment could cure the defect.¿ (County of Santa Clara v. Superior Court (2022) 77 Cal.App.5th 1018,1035.)¿ The Plaintiff has the burden of demonstrating that leave to amend should be granted, and that the defects can be cured by amendment. (“Plaintiff must show in what manner he can amend his complaint and how that amendment will change the legal effect of his pleading.” (Goodman v. Kennedy (1976) 18 Cal.3d 335, 349).

Here, leave to amend is not warranted. First, Pacific’s motion for leave to file a fourth amended cross-complaint admits that there is no difference between the 3ACC and the proposed amendment. (Mot. 2:26-27.) Second, the defects articulated above are not reasonably capable of curing because Pacific cannot allege facts imposing a duty by Lloyd’s to Plaintiff to renew the Policy or communicate more details than those of the Policy.

In sum, Pacific has not identified any additional facts it could plead that would establish a duty owed by Lloyd's to Plaintiff after expiration of the Policy, nor facts establishing Lloyd's liability to Plaintiff notwithstanding the admitted allegations that Plaintiff's application was not transmitted to Lloyd's until after the loss occurred. The defects are legal rather than factual. Accordingly, Pacific has not demonstrated a reasonable possibility that the defects can be cured by amendment, and leave to amend is denied.

Accordingly, leave to amend is DENIED.

CONCLUSION:

For
the foregoing reasons, the court decides the pending motion as follows:

1. Demurrers
to the 3ACC are SUSTAINED in full without leave to amend;

2. Motion
to strike is DENIED as moot;

3. Motion
for leave to file a fourth amended cross-complaint is DENIED.

Lloyd's is to give notice.

IT IS SO ORDERED.

Dated: August 4, 2026 ___________________________________ Upinder
S. Kalra

Judge
of the Superior Court

[1]
This in turn moots Pacific's concurrent motion for leave to file a fourth amended cross-complaint. (Mot. 2:22.) Nonetheless, the court will interpret that motion as an offer of proof as to whether the court should sustain the demurrer with leave to amend.